Property Buying Guide

Everything you need to know before signing anything — from your first property search to the day you collect your keys. Written in plain English so you never feel lost.

Section 1 — What to Check Before Buying

Buying property in India is one of the largest financial decisions of your life. Before you pay a single rupee as a token advance, verify every document listed in this section. Skipping even one can lead to legal disputes, financial loss, or — in the worst cases — losing the property entirely.

1. RERA Registration

What it is: The Real Estate (Regulation and Development) Act, 2016 made it mandatory for all residential projects above 500 sq mt or 8 units to be registered with the state RERA authority before they are marketed or sold to buyers.

How to verify: Visit your state's RERA portal. In Maharashtra: maharera.mahaonline.gov.in. In Karnataka: rera.karnataka.gov.in. In Kerala: rera.kerala.gov.in. Search by project name or registration number. The portal shows approval status, declared completion date, and any complaints filed against the builder.

What to look for: Active registration status, matching project details (number of towers, total units, completion date). If a builder asks you to pay before RERA registration — walk away.

Red flag: Builder says 'RERA approval is pending, but you can book now and we will get it soon.' This is illegal under the RERA Act. Do not pay anything before registration exists.

2. Title Deed and Ownership Verification

What it is: The title deed (also called the sale deed or conveyance deed) is the primary legal document that proves who owns the land and property. A clean title means there are no disputes, litigation, or competing ownership claims on the property.

How to verify: Ask the seller for the original sale deed and all previous sale deeds going back at least 30 years (this is called a title search). Engage a property lawyer to trace the chain of ownership. In most states, registered documents can be verified at the Sub-Registrar office or on the state IGR (Inspector General of Registration) portal.

What to look for: Unbroken chain of ownership with no gaps. The person selling must appear as the registered owner. If there are multiple owners (e.g., inherited property), ALL co-owners must sign the sale deed.

Red flag: Seller cannot produce original documents and offers only photocopies. Original documents are with a money lender, suggesting the property is mortgaged.

3. Encumbrance Certificate (EC)

What it is: An Encumbrance Certificate is an official document issued by the Sub-Registrar's office that lists all registered transactions on a property — including mortgages, loans, and liens. A 'nil encumbrance' certificate means no pending financial liabilities exist on the property.

How to verify: Apply for EC at the Sub-Registrar office or online (available in states like Tamil Nadu, Karnataka, Andhra Pradesh, Telangana through their IGR portals). Request EC for the past 30 years to be thorough.

What to look for: Nil encumbrance or all loans shown as fully discharged with release deed attached. The name on EC must match the current seller's name exactly.

Red flag: EC shows an active mortgage or bank charge that the seller claims is 'already paid.' Insist on seeing the original bank's No Objection Certificate (NOC) and release deed.

4. Building Plan Approval

What it is: Before constructing any building, the developer must get the building plan approved by the local municipal authority — BBMP in Bengaluru, BMC in Mumbai, DTCP in Tamil Nadu districts, or the local Panchayat or Municipality in smaller towns. An unapproved building can be demolished by authorities.

How to verify: Ask the builder for the sanctioned building plan stamped by the municipal authority. The plan shows the approved number of floors, total built-up area, setbacks, and land use. Cross-check that the actual building under construction matches the approved plan.

What to look for: Plan approval from the correct authority (not just from a private architect). If buying a flat, the plan should show your specific flat's location and dimensions. Approved FAR (Floor Area Ratio) must not be exceeded by the actual construction. **Red flag:** Builder has plan approval for a 5-floor building but is constructing 8 floors. Extra floors are illegal and will not get an Occupancy Certificate — banks will refuse loans.

5. Occupancy Certificate (OC)

What it is: The Occupancy Certificate is issued by the municipal authority after inspecting the completed building and confirming it was built according to the approved plan and is safe for occupation. It is the final official permission to move in. Without OC, a building is legally unauthorised for residential use.

How to verify: For completed ready-to-move properties, ask the builder for the OC issued by the local municipal body. Do not accept a 'Completion Certificate' as a substitute — they are different. OC is issued after the authority physically inspects the building.

What to look for: OC must be on the official letterhead of the municipal body, not from a private agency. It must mention the specific building, number of floors, and date of inspection. For under-construction properties, OC will come later — ensure it is a contractual obligation.

Red flag: Builder says 'OC is not required in our area' or 'we have applied for OC.' Banks will not give home loans for buildings without OC. Buying without OC means you cannot get electricity or water connections legally.

Section 2 — Step-by-Step Buying Process

Buying property in India involves at least a dozen distinct steps spread over several months. Most first-time buyers are surprised by how long and paperwork-heavy the process is. Here is every step in sequence so you never feel blindsided.

Step 1 Define Your Budget Realistically

Do not start searching until you know exactly what you can afford. Your budget has three parts: down payment (typically 20% of property value since banks loan a maximum 80%), registration and stamp duty (6–8% of property value in most states — this is cash, not loanable), and moving and interiors (budget at least 5–10% of property value). So for a 60 lakh flat, you need roughly 12 lakh down payment + 5 lakh stamp duty + 4 lakh interiors = 21 lakh in cash, plus EMI on the remaining 48 lakh home loan.

Step 2 Get a Pre-Approved Home Loan

Before visiting properties, approach two or three banks and get an in-principle loan sanction. This tells you exactly how much the bank will lend you based on your income, CIBIL score, and existing EMIs. Banks typically lend up to 60x your net monthly salary. A pre-approval also makes you a credible buyer when negotiating with sellers.

Step 3 Search Properties Online and Shortlist

Use MagicBricks, 99acres, and Housing.com to create an initial shortlist. Filter by your budget, preferred locality, and property type. Apply a 10–15% negotiation buffer — list prices are rarely final. Save at least 8–10 options before visiting any. Do not fall in love with one property at this stage — you need comparison points.your net monthly salary. A pre-approval also makes you a credible buyer when negotiating with sellers.

Step 4 Visit Sites and Evaluate

Visit shortlisted properties in person, ideally twice — once on a weekday morning and once on a weekend evening — to see traffic, noise, and neighbour behaviour at different times. Check: natural light and ventilation in every room, water pressure and drainage, mobile network signal, proximity to your workplace / school / hospital, parking availability, lift condition and backup power, and the general maintenance standard of the building.

Step 5 Verify All Documents (Section 1)

Once you identify a shortlisted property, begin legal verification before paying anything. Hire a property lawyer (fee: ■5,000–■25,000 depending on city) to verify RERA status, title deed, encumbrance certificate, building plan approval, and occupancy certificate. This investment is tiny compared to the risk of skipping it.

Step 6 Negotiate the Price

Most sellers, including builders, have negotiation room of 5–15%. Use comparable recent transactions in the same locality as your benchmark. In a buyer's market (high unsold inventory, slow sales), negotiate harder. Always get the final agreed price in writing via email before paying any advance.

Step 7 Sign the Agreement to Sell

Before the final sale deed, both parties sign an Agreement to Sell (also called Agreement for Sale). This is a binding contract that specifies: agreed price, payment schedule, possession date, penalty clauses for delay, and what happens if either party backs out. Pay stamp duty on this agreement as required by your state. The token advance (typically 1–2% of property value) is paid at this stage.

Step 8 Apply for Home Loan

Submit the property documents to your chosen bank for the technical and legal valuation. The bank sends its own lawyer to verify documents and its own engineer to inspect the property. This takes 2–4 weeks. Once approved, the bank issues a Sanction Letter specifying loan amount, interest rate, and EMI. Read this letter carefully before accepting

Step 9 Execute the Sale Deed

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Step 9 Execute the Sale Deed

The sale deed is the final legal document that transfers ownership from seller to buyer. It is drafted by a lawyer, reviewed by both parties, and executed on stamp paper of appropriate value (as required by your state's stamp duty schedule). Both buyer and seller must be physically present at signing along with two witnesses. The bank releases the loan amount directly to the seller at this stage.

Step 10 Register the Sale Deed

Within four months of executing the sale deed, it must be registered at the Sub-Registrar's office in whose jurisdiction the property falls. Both buyer and seller appear in person with original documents and two witnesses. Pay the registration fee (typically 1% of property value in most states). The registered deed is returned within a few days and is your proof of ownership.

Step 11 Mutation / Khata Transfer

After registration, apply for mutation — the transfer of the property's name in government revenue records from the seller to your name. This is done at the local municipal office (called Khata in Karnataka, Patta in Tamil Nadu, Property Tax Records in other states). Without mutation, you cannot pay property tax in your name or apply for utility connections.

Step 12 Take Possession and Snag List

Before accepting possession from a builder, do a thorough walk-through and create a snag list — every defect, incomplete work, or quality issue in writing. Builders are legally obligated to fix structural defects for 5 years after possession under RERA. Do not sign the possession letter until you are satisfied, or at least list all snagging items in the letter itself.

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Section 3 — Common Mistakes First-Time Buyers Make

These are the mistakes that Indian property buyers repeat most often — and regret most deeply. Read every one carefully. Many of them seem obvious in hindsight but are remarkably easy to fall into when you are emotionally invested in a property.

Mistake 1: Underestimating the total cost
Most buyers calculate only the property price and home loan EMI. They forget: stamp duty (6–8%), registration fee (1%), GST on under-construction properties (5% without input credit), society maintenance deposit (3–6 months advance), parking charges (often sold separately at 3–10 lakh rupees in metros), home interiors (easily 3–8 lakh for a 2BHK), and brokerage (1–2% of property value). A 50 lakh flat can realistically cost 60–65 lakh all-in.

Mistake 2: Buying under-construction property without reading the agreement
Builders use complex agreements with clauses that heavily favour them. Common traps: possession date written as 'tentative' (giving them unlimited delay), maintenance charges calculated on super built-up area (inflating your monthly bill), and car parking not included in the base price. Always have a lawyer review the builder-buyer agreement before signing.

Mistake 3: Ignoring the locality for the flat

Buyers often fall in love with the flat and ignore the neighbourhood. Visit at different times. Check flood history (ask neighbours, not the builder). Check the status of the road — is it under municipal limit? Is there a sewage system? Is public transport accessible? A beautiful flat in a poorly connected area will be hard to resell.

Mistake 4: Not checking the builder's track record

Anyone can launch a project and sell flats. Check: How many projects has this builder completed? Did they deliver on time? Are there complaints on the RERA portal? Talk to residents of their previous projects. A builder with a history of delayed possession or poor construction quality is not worth the risk, regardless of the price.

Mistake 5: Skipping the lawyer to save money

A property lawyer charges 5,000–25,000 for a full document verification. Buyers skip this to save money on a 50 lakh transaction. This is equivalent to skipping a medical checkup to save 500. One overlooked lien, disputed ownership clause, or unapproved deviation in the building plan can cost you the entire property.

Mistake 6: Stretching beyond financial comfort for EMI

Banks will sanction a loan up to 60x your monthly salary, but just because you are eligible does not mean you should take the maximum. Your total EMIs (home loan + car loan + personal loans) should not exceed 40% of your take-home salary. Buffer for emergencies, job changes, medical expenses, and rising interest rates — which directly affect your home loan EMI.

Mistake 7: Trusting verbal promises from builders

Builders make verbal promises about amenities, possession dates, and price locks. None of these are enforceable unless they appear in writing in the registered agreement. If a builder says 'don't worry, we will give you a better view flat later,' get it in writing or assume it will not happen.

Mistake 8: Not negotiating the price

Many first-time buyers assume the listed price is fixed — it almost never is. Builders have margins built in for negotiation. Even in secondary sales, there is usually room. Comparable sale data from the Sub-Registrar office (public record) gives you leverage. Not negotiating typically leaves ■2–5 lakh on the table.

Section 4 — Questions to Ask Your Broker

A good broker can save you months of effort. A bad one will waste your time and possibly cost you money. These questions help you evaluate the broker, understand the property better, and catch information they might not volunteer on their own.

About the broker

Q How long have you been working in this locality specifically? (Local experience matters more than total years)

Q Are you registered under RERA as a real estate agent? (Mandatory in most states since 2017)

Q How many transactions have you closed in this building or project?

Q Can you give me references from two buyers you helped in the last 6 months?

Q What is your brokerage fee, and who pays it — buyer, seller, or both?

About the property

Q Why is the current owner selling? (Urgency to sell can give you negotiation leverage)

Q How long has this property been listed, and have there been any price reductions?

Q Are there any known disputes — with neighbours, society, or authorities — about this property?

Q What are the monthly maintenance charges, and what do they include?

Q Is there any pending litigation on this property or the land it sits on?

Q What is the actual carpet area versus the built-up and super built-up area being quoted?

About the locality

Q Has this area experienced flooding or waterlogging in the past 3 years?

Q What is the current state of water supply — is it municipal or dependent on borewells?

Q Are there any large infrastructure projects planned nearby — metro, highway, commercial complex?

Q What is the average appreciation rate of properties in this micro-market over the last 5 years?

Q Are most residents in this building owners or tenants? (Owner-dominated buildings have better maintenance)

About the transaction

Q What is the all-in cost — property price + parking + other charges?

Q What is the earliest possible possession date, and what is the penalty if it is delayed?

Q Will the owner complete all repairs and pending work before handover?

Q Is the property currently rented out? When does the tenant leave?

Q What documents will I receive at the time of sale deed execution?

Pro tip: Note the broker's body language and hesitation when answering. Evasive or vague answers to direct questions about disputes, documents, or possession are more informative than any answer they actually give.

Section 5 — Red Flags in Property Listings

Online listings and builder brochures are marketing material, not truth documents. These are the signals — in the listing itself and during your visit — that should make you slow down or walk away entirely.

Red Flag 1: Price significantly below market

If a property is priced 15% or more below comparable listings in the same area, something is wrong. Common reasons: disputed ownership, court attachment, structural defect, or the seller is desperate and hiding information. Use it as a starting point for aggressive investigation, not as a reason to rush.

Red Flag 2: Photos only show select rooms or are clearly old

A listing with only 2–3 photos, no floor plan, and photos that look professionally staged from years ago is hiding something. Insist on a live video walkthrough or a fresh visit before expressing serious interest.

Red Flag 3: 'Price on request' or vague area details

Legitimate listings show a clear price and unambiguous area in carpet square feet. 'Price on request' is a broker tactic to initiate contact before revealing an inflated price. Area quoted as 'approximately 1200 sqft' without specifying whether that is carpet, built-up, or super built-up is a deliberate obfuscation.

Red Flag 4: Broker refuses to share documents before a visit

A seller or broker who will not share the RERA number, basic ownership documents, or society NOC before you visit is either hiding something or treating you as an unserious buyer. Verify RERA yourself online before wasting time on a visit.

Red Flag 5: Excessive urgency from the seller

'You must decide by tomorrow,' 'three other buyers are interested,' and 'the price goes up next week' are pressure tactics designed to prevent you from doing due diligence. Genuine sellers with good properties do not need to manufacture urgency.

Red Flag 6: Building deviations visible during visit

Extra floors beyond what is shown in the approved plan, rooms added to balconies, changed parking layout — any visible deviation from the sanctioned plan is a serious legal risk. Unapproved construction can attract demolition orders from municipal authorities.

Red Flag 7: No society or maintenance structure in place

For apartments, the Resident Welfare Association (RWA) or Housing Society should be properly formed and registered. If it does not exist, there is no mechanism to maintain common areas, collect maintenance, or resolve disputes between residents.

Red Flag 8: Seller insisting on cash component

If any part of the transaction involves undisclosed cash payment ('black money') that will not appear in the registered sale deed, refuse entirely. Under Section 269SS and 269ST of the Income Tax Act, cash transactions above 20,000 in property deals attract severe penalties. You also lose legal protection on the undisclosed amount if a dispute arises.

Section 6 — Glossary of Key Terms

Real estate in India has a vocabulary that can confuse even educated buyers. Understanding these terms precisely can prevent costly misunderstandings — especially around area measurements, ownership types, and legal concepts.

Carpet Area

The actual usable floor area within the four walls of your flat — the area on which you can literally lay a carpet. It excludes the thickness of walls, balconies, and common areas. Under RERA, builders must quote and sell on carpet area, not built-up or super built-up area. Carpet area is always the smallest of the three measurements. Example: A 2BHK with 950 sqft carpet area might be marketed as 1,350 sqft super built-up area.

Built-Up Area

Carpet area plus the area of the walls (both inner and outer), utility ducts inside the flat, and balconies / terrace attached to the flat. Typically 10–15% more than carpet area. This is the area you will find in older sale deeds from before RERA.

Super Built-Up Area (SBA)

Built-up area plus your proportionate share of all common areas — staircases, lobbies, lifts, gym, swimming pool, clubhouse, and other amenities. This is the largest number and was traditionally used by builders to quote prices, making flats appear cheaper per sqft. RERA now prohibits pricing on SBA. Always convert to carpet area price before comparing properties: Price per sqft (carpet) = Total price ÷ Carpet area.

Freehold Property

You own the land and the building on it outright, permanently, with no time limit on ownership. You can sell, gift, mortgage, or transfer without seeking anyone's permission. Most independent houses and plotted developments are freehold. This is the strongest form of ownership.

Leasehold Property

You own the right to use the property for a fixed period — typically 30, 60, 90, or 99 years after which ownership reverts to the lessor (often a government body like DDA in Delhi or HUDA in Haryana). At the end of the lease, you must apply for renewal. Leasehold properties are harder to get home loans for and command lower resale values. Many properties in Delhi (DDA flats), Noida, and Gurgaon are leasehold. Always clarify before buying.

UDS — Undivided Share of Land

In an apartment complex, the land is owned collectively by all flat owners. Your UDS is your proportionate share of this total land. For example, if a builder constructs 100 flats on 10,000 sqft of land, each flat owner's UDS is 100 sqft. UDS is critical because: it appears in the sale deed and is the basis of your legal ownership of the land beneath the building, it determines your compensation if the building is ever demolished or redeveloped, and banks use UDS to calculate the collateral value of your flat. Always verify the UDS in the sale deed matches what the builder has marketed.

RERA Registration Number

A unique alphanumeric code assigned to every registered real estate project by the state RERA authority. Format varies by state. Example in Maharashtra: P51900000001. You can enter this number on the state RERA portal to see the project's full legal status, declared timeline, financial disclosures, and any complaints filed against the builder.

Encumbrance Certificate (EC)

A government document that shows all registered financial and legal transactions on a property for a specified period. An EC with no entries means no mortgages, loans, or liens exist — this is called a 'nil encumbrance' certificate. EC is mandatory for home loan processing and is issued by the Sub-Registrar's office.

Occupancy Certificate (OC)

Official permission issued by the local municipal authority confirming that a building has been constructed as per approved plans and is safe and legal to occupy. Without OC, a building is an unauthorised structure. Electricity boards and water authorities can legally refuse connections to buildings without OC.

Khata / Patta

A revenue record entry in the local government's property register that identifies you as the owner of the property for tax and administrative purposes. Called Khata in Karnataka and AP, Patta in Tamil Nadu and Kerala, and Property Index Card in other states. Without mutation (name change in this record), you cannot pay property tax in your name or apply for building plan approvals.

Stamp Duty

A tax levied by the state government on property transactions, calculated as a percentage of the property's market value or circle rate (whichever is higher). Rates vary by state: Maharashtra charges 6%, Karnataka 5–7%, Tamil Nadu 7%, Kerala 8%, and so on. Stamp duty must be paid before or at the time of executing the sale deed and is not refundable. It is a cash expense — banks do not include it in the home loan amount.

Circle Rate / Guidance Value / Ready Reckoner Rate

The minimum price per sqft that the government mandates for property registration in each area. Called Circle Rate in Delhi/UP, Guidance Value in Karnataka, and Ready Reckoner Rate in Maharashtra. Stamp duty is calculated on this rate or the actual sale price — whichever is higher. You cannot register a property below the circle rate even if that is the actual deal price.

EMI — Equated Monthly Instalment

The fixed monthly amount you pay to the bank to repay your home loan, covering both principal repayment and interest. EMI = [P × r × (1+r)^n] / [(1+r)^n - 1], where P is loan amount, r is monthly interest rate, and n is number of months. For a 40 lakh loan at 8.75% for 20 years: EMI ≈ 35,430. Banks require your total EMIs to not exceed 40–50% of your gross monthly income.

LTV — Loan to Value Ratio

The percentage of the property value that a bank will finance through a home loan. RBI mandates a maximum LTV of 80% for loans above ■30 lakh (you must fund the remaining 20% as down payment from your own savings). For loans above ■75 lakh, maximum LTV is 75%. Banks calculate LTV on their own assessed value of the property, not the listed price.

CIBIL Score

A 3-digit credit score (300–900) calculated by TransUnion CIBIL based on your credit history — loan repayments, credit card payments, and defaults. A score above 750 is considered good and qualifies you for the best home loan interest rates. A score below 650 will result in rejection or a higher interest rate. Check your CIBIL score free once a year at cibil.com before applying for a home loan.

Key Takeaways

Always verify RERAregistration on your state portalbeforepaying any advance.

Budget at least 10–12% above the listed price for stamp duty, registration, and extras.

Hire a property lawyer. ■10,000 now can save ■50 lakh later.

Never accept verbal promises — everything must be in the registered agreement.

An Occupancy Certificate is non-negotiable for ready-to-move properties.

Compare properties on carpet area price, not super built-up area price.

Your total EMIs should not exceed 40% of your take-home pay.

Check the RERA portal for complaints against the builder before booking.

This guide is part of a Real Estate AI Knowledge Base for educational and informational purposes. Always consult a qualified property lawyer and SEBI-registered financial advisor before making any investment decision.